

1 AN ACT relating to health care billing practices.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔Section 1. KRS 216B.250 is repealed, reenacted as a new section of KRS
4 Chapter 367, and amended to read as follows:

5 (1) For purposes of this section:~~[-]~~

6 **(a) "Claim status" means one (1) of the following:**

7 **1. One (1) or more claims have been filed for the service or supply by the**
8 **facility or provider with a third-party payor;**

9 **2. One (1) or more claims are anticipated to be filed for the service or**
10 **supply by the facility or provider with a third-party payor; or**

11 **3. A claim will not be filed for the service or supply by the facility or**
12 **provider with any third-party payor;**

13 **(b) "Federal No Surprises Act" means Division BB of the Consolidated**
14 **Appropriations Act, 2021, Pub L. No. 116-260, as amended, and any federal**
15 **guidance or regulations issued thereunder;**

16 **(c) "Health care services":**

17 **1. Means the provision of health care services and any related supplies to**
18 **a patient by a health facility or any other provider of health care; and**

19 **2. Includes the provision of:**

20 **a. Prescription drugs, as defined in KRS 315.010; and**

21 **b. Home medical equipment, as defined in KRS 309.402;**

22 **(d) "Health facility":**

23 **1. Has the same meaning as in KRS 216B.015; and**

24 **2. Includes a medical laboratory;**

25 **(e) "In-network provider" means a health facility or any other provider of**
26 **health care that has a contractual relationship with the third-party payor to**
27 **provide health care services to the patient;**

1 (f) "Medical laboratory" has the same meaning as in KRS 333.020;

2 (g) "Price classification" means one (1) of the following:

3 1. The facility's or provider's list price;

4 2. A price that has been contracted with a third-party payor; or

5 3. A price that is less than the facility's or provider's list price but has not
6 been contracted with a third-party payor;

7 (h) "Provider of health care":

8 1. Means a provider of hospital, medical, surgical, dental, vision, or
9 audiology services and any related supplies; and

10 2. Includes a provider of nursing, mental health, substance abuse,
11 chiropractic, pharmaceutical, podiatric, habilitative or rehabilitative
12 therapy, medical laboratory, medical imaging, radiation therapy, and
13 ambulance services and any related supplies; and

14 (i) "Total payment" means the sum of the following:

15 1. Any payments from a third-party payor;

16 2. Any out-of-pocket payments, including copayments, coinsurance, and
17 deductibles, that are required under the terms and conditions of
18 coverage or reimbursement provided by a third-party payor; and

19 3. Any other payments~~["Paying patient" means persons receiving health~~
20 ~~care services who pay directly for services rendered, patients with~~
21 ~~private health insurance or health maintenance organization coverage,~~
22 ~~persons receiving Medicaid or Medicaid benefits under Title XVIII and~~
23 ~~Title XIX of the Social Security Act and persons receiving veteran's~~
24 ~~health care benefits. "Paying patient" does not include medically~~
25 ~~indigent persons with no source of payment whatsoever].~~

26 (2) (a) ~~[When a copy of an itemized statement is requested by any paying patient,~~
27 ~~]Each health facility or other provider of health care shall;~~

- 1 1. When a statement of charges or bill is requested by a patient, or
2 patient's authorized representative, for health care services that have
3 been provided to the patient, furnish to the patient or representative
4 within thirty (30) days of the patient's discharge or within fifteen (15)
5 days of the ~~patient's~~ request, whichever is later, ~~a~~one (1) copy free of
6 ~~charge of the itemized~~ statement of the health care services provided to
7 the patient; and ~~rendered and charges incurred by the patient~~
- 8 2. When the facility or provider requests payment from any patient, or
9 patient's authorized representative, for health care services, furnish to
10 the patient or representative a statement of the health care services for
11 which payment is requested.
- 12 (b) A statement required under paragraph (a) of this subsection shall:
- 13 1. Include an itemization of each service and supply for which payment
14 is, or is anticipated to be, requested;
- 15 2. For each itemized service or supply:
- 16 a. Provide a plain language explanation of the service or supply;
17 b. Include sufficient detail to identify the specific service or supply
18 that was, or is anticipated to be, provided to the patient;
19 c. Indicate:
- 20 i. The date the service or supply was, or is anticipated to be,
21 provided;
22 ii. The total payment that is, or is anticipated to be, requested
23 by the facility or provider for the service or supply;
24 iii. The price classification for the amount identified under
25 subpart ii. of this subdivision; and
26 iv. The claim status;
27 d. If a claim for the service or supply has been, or is anticipated to

1 be, filed by the facility or provider with any third-party payor,
2 indicate for each claim or anticipated claim:

3 i. The name of the third-party payor;

4 ii. For filed claims, a claim number or other claim identifier
5 utilized by the third-party payor for the claim;

6 iii. Whether the facility or provider is an in-network provider;

7 iv. Whether an assignment of benefits has been obtained; and

8 v. The amount the facility or provider has been, or is
9 anticipated to be, paid by the third-party payor for the
10 service or supply;

11 e. If any payments have been made to the facility or provider for
12 the service or supply, indicate:

13 i. The name of each payor;

14 ii. The amount of each payment; and

15 iii. The date of each payment; and

16 f. If, on the date the statement is furnished, any payment for the
17 service or supply is requested by the facility or provider directly
18 from the patient or patient's authorized representative, indicate:

19 i. The due date of the payment; and

20 ii. The amount of the requested payment; ~~[A summary~~

21 ~~statement of services rendered and charges incurred by the~~
22 ~~patient shall be included with the invoice sent by a health~~
23 ~~facility to the patient. Each invoice shall indicate that an~~
24 ~~itemized statement may be obtained upon request. The~~
25 ~~Cabinet for Human Resources shall impose a civil fine of~~
26 ~~five hundred dollars (\$500) for each violation by a health~~
27 ~~care facility for failure to provide an itemized statement as~~

required under this section.}

3. Not refer to a billing code, drug code number, or other assigned numerical code without including the name of the health care service that corresponds with the code;

4. Comply with subsection (6) of this section;

5. Conspicuously display:

a. The name and location of the facility or provider; and

b. A telephone number and electronic mail address of one (1) or more appropriate staff of the facility or provider that can, and are authorized to, answer questions and resolve disputes about the statement; and

6.(c) The itemized statement shall Be stamped "Kentucky Revised Statutes prohibit the use of this statement for insurance payment purposes where benefits have been assigned."

(c) All of the information required under paragraph (b) of this subsection shall be furnished to the patient, or patient's authorized representative, in a:

1. Single consolidated statement; and

2. Clear and coherent manner using language and format that is easily readable and understandable by an ordinary layperson.

(d) A health facility or any other provider of health care shall:

1. Not bill or otherwise charge a patient, or patient's authorized representative, for the preparation of a statement required under this subsection; and

2. Comply with a request by a patient, or patient's authorized representative, to furnish a statement required under this subsection to the patient or representative by any of the following means:

a. By hand delivery or otherwise allowing the patient or

1 representative to pick up the statement at the facility's or
2 provider's location;

3 b. By first-class mail; or

4 c. Electronically to an email address provided to the facility or
5 provider by the patient or representative.

6 (3) Each health facility or other provider of health care shall:

7 (a) Post in a publicly visible place in ~~its~~^{their} admission areas, outpatient areas,
8 and~~[, where applicable,]~~ emergency areas, and on its website, as applicable,
9 that a consolidated,~~an~~ itemized statement of health care services is required
10 to be furnished by the facility or provider whenever:

11 1. A patient, or patient's authorized representative, requests a statement
12 of charges or bill for health care services that have been provided to
13 the patient; or

14 2. The facility or provider requests payment from any patient, or patient's
15 authorized representative, for health care services; and~~[available to~~
16 ~~any paying patient upon request.]~~

17 (b) Make available appropriate staff to provide a response to questions, and
18 resolve disputes, concerning any statement received under subsection (2) of
19 this section.

20 (4) The~~[itemized]~~ statement or statements furnished under subsection (2) of this
21 section~~[rendered]~~ shall be the record maintained by the health facility or other
22 provider of health care that details the prices charged~~[charges made]~~ for health
23 care services provided~~[rendered]~~ to patients~~[and shall indicate whether an~~
24 ~~assignment of benefits has been obtained].~~

25 ~~(5) [Each health facility shall designate and make available appropriate staff to provide,~~
26 ~~upon patient request, an explanation of charges listed in the itemized statement.~~

27 ~~(6)~~ If a health facility or any other provider of health care knows of a discrepancy in

1 the total price charged~~[charges]~~ as reported in a~~[an itemized]~~ statement furnished
2 under subsection (2) of this section and that which is reported to a third-party~~[third~~
3 ~~party]~~ payor, or at any time that a ~~[health]~~ facility or provider becomes aware of
4 such a discrepancy, the ~~[health]~~ facility or provider shall provide the patient, or if
5 applicable, the patient's authorized representative, and the third-party~~[third party]~~
6 payor with notification, an explanation, and, if applicable, any reconciliation of the
7 discrepancy in total charges.

8 (6) (a) A health facility or any other provider of health care shall not request or
9 accept a total payment for health care services that exceeds any of the
10 following amounts:

11 1. The price the facility or provider has agreed to receive for the health
12 care services under a contract entered with a third-party payor; or

13 2. The amount the facility or provider is entitled to receive for the health
14 care services under state or federal law.

15 (b) To aid in the effectuation of this subsection, the Attorney General may
16 enforce any state or federal law, including the federal No Surprises Act,
17 that regulates the maximum amount that a health facility or any other
18 provider of health care is entitled to bill or receive for health care services.

19 (7) A health facility or any other provider of health care that makes a good-faith
20 error resulting in a violation of this section may cure the violation if the facility
21 or provider, within thirty (30) days of the date of the violation:

22 (a) Remedies the violation by taking the action that was required under this
23 section;

24 (b) Notifies the patient, patient's authorized representative, and third-party
25 payor, as applicable, of the compliance failure; and

26 (c) Makes all appropriate refunds, adjustments, and corrections, as applicable.

27 (8) (a) Unless otherwise cured in accordance with subsection (7) of this section, a

1 violation of this section shall be deemed to be an unfair, false, misleading,
2 or deceptive act or practice in the conduct of trade or commerce in violation
3 of KRS 367.170.

4 (b) All of the remedies, powers, and duties provided to the Attorney General or
5 any other person under KRS 367.110 to 367.300, and the penalties provided
6 in KRS 367.990, pertaining to acts and practices declared unlawful by KRS
7 367.170, shall apply with equal force and effect to a violation of this section.

8 (9) (a) Unless otherwise cured in accordance with subsection (7) of this section:

9 1. The Attorney General may institute an action in any court of
10 competent jurisdiction against any health facility or other provider of
11 health care alleged to have violated this section; and

12 2. A person injured by a violation of this section may institute an action
13 in any court of competent jurisdiction against any health facility or
14 other provider of health care alleged to have committed the violation.

15 (b) In any action brought under this subsection, if the court finds that the
16 health facility or other provider of health care has violated this section:

17 1. The plaintiff may:

18 a. Obtain an injunction to enjoin a continuance of the unlawful
19 activity;

20 b. Recover actual damages sustained, which shall be paid to the
21 injured person or persons; and

22 c. Be awarded reasonable attorney's fees and costs; and

23 2. In addition to the remedies and penalties provided under
24 subparagraph 1. of this paragraph:

25 a. The Attorney General may recover a civil penalty of not more
26 than five hundred dollars (\$500) per violation; and

27 b. Any other plaintiff may recover a statutory penalty of not more

1 than five hundred dollars (\$500) per violation.

2 (10) It shall not be necessary that actual damages be alleged or proved in order to
3 recover any other remedy or penalty authorized under this section.

4 (11) (a) The remedies and penalties prescribed in this section shall be cumulative.

5 (b) Nothing in this section shall be construed to limit or restrict the powers,
6 duties, remedies, or penalties available to the Attorney General, the
7 Commonwealth, or any other person under any other statutory or common
8 law.

9 (12) The Attorney General may promulgate administrative regulations in accordance
10 with KRS Chapter 13A that are necessary to effectuate, or as an aid to the
11 effectuation of, the enforcement of this section.

12 ➔ Section 2. KRS 304.14-410 is amended to read as follows:

13 No insurer shall use an itemized statement furnished pursuant to Section 1 of this
14 Act~~[KRS 216B.250]~~ for insurance payment purposes where benefits have been assigned.

15 ➔ Section 3. KRS 304.32-1551 is amended to read as follows:

16 No corporation subject to the provisions of this subtitle shall use an itemized statement
17 furnished pursuant to Section 1 of this Act~~[KRS 216B.250]~~ for insurance payment
18 purposes where benefits have been assigned.

19 ➔ Section 4. KRS 214.556 is amended to read as follows:

20 (1) There is hereby established within the Kentucky cancer program the Kentucky
21 Cancer Registry and the cancer patient data management system for the purpose of
22 providing accurate and up-to-date information about cancer in Kentucky and
23 facilitating the evaluation and improvement of cancer prevention, screening,
24 diagnosis, therapy, rehabilitation, and community care activities for citizens of the
25 Commonwealth. The cancer patient data management system shall be administered
26 by the Lucille Parker Markey Cancer Center.

27 (2) Each licensed health facility which provides diagnostic services, or diagnostic

1 services and treatment, or treatment to cancer patients shall report to the Kentucky
2 Cancer Registry, through the cancer patient data management system and in a
3 format prescribed by the Kentucky Cancer Registry, each case of cancer seen at that
4 health facility. Failure to comply may be cause for assessment of an administrative
5 fine for the health facility, the same as the civil penalty for a violation of Section 1
6 of this Act[KRS 216B.250].

7 (3) Each health facility shall grant to the cancer registry access to all records which
8 would identify cases of cancer or would establish characteristics of the cancer,
9 treatment of the cancer, or status of any identified cancer patient. Hospitals actively
10 participating and enrolled in the cancer patient data management system of the
11 Kentucky Cancer Program as of July 13, 1990, shall be considered to be in
12 compliance with this section. The Lucille Parker Markey Cancer Center shall
13 provide staff assistance in compiling and reporting required information to hospitals
14 which treat a low volume of patients.

15 (4) No liability of any kind or character for damages or other relief shall arise or be
16 enforced against any licensed health facility by reason of having provided the
17 information or material to the Kentucky Cancer Registry pursuant to the
18 requirements of this section.

19 (5) The identity of any person whose condition or treatment has been reported to the
20 Kentucky Cancer Registry shall be confidential, except that:

21 (a) The Kentucky Cancer Registry may exchange patient-specific data with any
22 other cancer control agency or clinical facility for the purpose of obtaining
23 information necessary to complete a case record, but the agency or clinical
24 facility shall not further disclose such personal data; and

25 (b) The Kentucky Cancer Registry may contact individual patients if necessary to
26 obtain follow-up information which is not available from the health facility.

27 (6) All information, interviews, reports, statements, memoranda, or other data furnished

1 by reason of this section, expressly including all portions, subsets, extracts, or
2 compilations of the data as well as any findings or conclusions resulting from those
3 studies, shall be privileged and shall not be considered public records under KRS
4 61.870 to 61.884. The Kentucky Cancer Registry may determine that certain
5 extracts, subsets, or compilations of data do not reveal privileged information and
6 may be published or otherwise shared to further the public health goals set forth
7 herein.

8 (7) The Kentucky Cancer Registry shall make periodic reports of its data and any
9 related findings and recommendations to the Legislative Research Commission, the
10 Interim Joint Committees on Appropriations and Revenue and Health Services, the
11 Governor, the Cabinet for Health and Family Services, the reporting health facility,
12 and other appropriate governmental and nongovernmental cancer control agencies
13 whose intent it is to reduce the incidence, morbidity, and mortality of cancer. The
14 Kentucky Cancer Registry may conduct analyses and studies as are indicated to
15 advance cancer control in the Commonwealth, either directly or by confidentially
16 sharing data with third parties.

17 ➔Section 5. KRS 216B.990 is amended to read as follows:

18 (1) Any person who, in willful violation of this chapter, operates a health facility or
19 abortion facility without first obtaining a license or continues to operate a health
20 facility or abortion facility after a final decision suspending or revoking a license
21 shall be fined not less than five hundred dollars (\$500) nor more than ten thousand
22 dollars (\$10,000) for each violation.

23 (2) Any person who, in willful violation of this chapter, acquires major medical
24 equipment, establishes a health facility, or obligates a capital expenditure without
25 first obtaining a certificate of need, or after the applicable certificate of need has
26 been withdrawn, shall be fined one percent (1%) of the capital expenditure involved
27 but not less than five hundred dollars (\$500) for each violation.

- 1 (3) Any health care provider or hospital acting by or through its agents or employees
2 which violates any provision of KRS 216B.400 shall be punished by a fine of not
3 less than one hundred dollars (\$100) nor more than five hundred dollars (\$500). The
4 cabinet shall establish an online portal on its website for reporting violations of
5 KRS 216B.400.
- 6 (4) ~~[Any health facility which willfully violates KRS 216B.250 shall be fined one~~
7 ~~hundred dollars (\$100) per day for failure to post required notices and one hundred~~
8 ~~dollars (\$100) per instance for willfully failing to provide an itemized statement~~
9 ~~within the required time frames.~~
- 10 ~~(5)~~ In addition to the civil penalties established under KRS 216B.306(1) and (4), any
11 person who advertises, solicits boarders, or operates a boarding home without first
12 obtaining a registration as required by KRS 216B.305 and any person who aids or
13 abets the operation of a boarding home that is not registered shall be imprisoned for
14 no more than twelve (12) months.
- 15 ~~(5)~~(6) Any person or entity establishing, managing, or operating an abortion facility
16 or conducting the business of an abortion facility which otherwise violates any
17 provision of this chapter or any administrative regulation promulgated thereunder
18 regarding abortion facilities shall be subject to revocation or suspension of the
19 license of the abortion facility. In addition, any violation of any provision of this
20 chapter regarding abortion facilities or any administrative regulation related thereto
21 by intent, fraud, deceit, unlawful design, willful and deliberate misrepresentation, or
22 by careless, negligent, or incautious disregard for the statute or administrative
23 regulation, either by persons acting individually or in concert with others, shall
24 constitute a violation and shall be punishable by a fine not to exceed one thousand
25 dollars (\$1,000) for each offense. Each day of continuing violation shall be
26 considered a separate offense. The venue for prosecution of the violation shall be in
27 any county of the state in which the violation, or any portion thereof, occurred.

1 ~~(6)~~~~(7)~~ Any hospital acting by or through its agents or employees that violates any
2 provision of KRS 216B.150 shall be punished by a fine of not less than one hundred
3 dollars (\$100) nor more than five hundred dollars (\$500) for each violation.

4 ~~(7)~~~~(8)~~ Any health facility acting by or through its agents or employees that violates
5 any provision of KRS 216B.153 shall be punished by a fine of not less than one
6 hundred dollars (\$100) nor more than five hundred dollars (\$500) for each
7 violation.

8 ➔Section 6. KRS 216B.300 is amended to read as follows:

9 As used in KRS 216B.300 to 216B.320 and KRS 216B.990~~(4)~~~~(5)~~, unless the context
10 requires otherwise:

11 (1) "Cabinet" means the Cabinet for Health and Family Services or its designee.

12 "Designee" means any agency established under KRS Chapter 211 or KRS
13 147A.050 whose duties related to this chapter shall be set forth in administrative
14 regulation;

15 (2) "Secretary" means the secretary of the Cabinet for Health and Family Services;

16 (3) "Boarder" means a person who does not require supervision or assistance related to
17 medication, activities of daily living, or a supervised plan of care; and

18 (4) "Boarding home" means any home, facility, institution, lodging, or other
19 establishment, however named, which accommodates three (3) or more adults not
20 related by blood or marriage to the owner, operator, or manager, and which offers
21 or holds itself out to offer room and board on a twenty-four (24) hour basis for hire
22 or compensation. It shall not include any facility which is otherwise licensed and
23 regulated by the cabinet or any hotel as defined in KRS 219.011(3).

24 ➔Section 7. This Act takes effect January 1, 2027.